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2021 Compensation Package Supplement

Confidential Bonus Program for George Shields

As part of your total compensation package Johnstone wants to make the following bonus opportunities available to you. Earning them will be tied to your ability to successfully complete and verify through proper reporting each of the assigned opportunities detailed below. Each opportunity is attainable and we will work with you to help you achieve them.

Bonus Summary (maximum bonus potential)

1) Develop Counter Sales Onboarding Program	\$2,250
2) Increase Lines per Invoice Initiative	750
3) eCommerce Profit Growth Initiative	1,000
4) Set up Customers with PartStock® or DirectConnect®	250 per customer
5) Sixteen (16) hours of JU Online self-training	400
6) Weekly TM Call Quality Review Meetings	<u>750</u>
Total Bonus Dollars Available	\$5,400*

* Bonus opportunities #4 could result in earnings greater than \$5,400.

Bonus Details

1) Everyday counter operations are a busy, multi-task driven, high-energy endeavor. To succeed requires a lot of training, tenacity and self-discipline. One has to acquire working knowledge of the use of our Inform software, demonstrate proficiency in how a wholesale business operates and makes money, learn the features and benefits of Johnstone's many products, vendors, and services and be able to do all these while maintaining a professional and courteous outlook with customers, suppliers and fellow employees. The goal of this initiative is twofold: i) to build a new employee onboarding program that covers key features of our Inform software, introduces a working knowledge of wholesale operations, phone, texting and email etiquette, and counter-based solution selling techniques and, ii) to provide the training needed to successfully locate and engage the many cooperative tools, documents, web portals, etc., needed in support everyday customer-initiated research. This initiative assumes the counter person has little or no working knowledge of the above, so it is not intended to be a procedure manual for everyday counter operations. (See Appendices for samples.)

- a) Identify the core computer competency skills needed to handle many of our daily wholesale duties. Examples might include an introduction to the primary applications used at the counter including the roles of DDI Inform, Adobe Acrobat Reader DC, MS Word, Excel, PowerPoint, TeamViewer, Email, Calendar, SharePoint, ProKeep, Johnstone University, Internet browsers, etc. All procedures should be captured using Johnstone University's Content and Student Management tools.
- b) Develop clear written procedures/training introducing the purpose and basic use of each application including, where appropriate, screenshots to assist in computer and keyboard navigation training.

- c) Additionally, procedures should be written to include use of browser bookmarks and search engines for product and vendor research including JXI and JEN, the importance of professional email and text etiquette, email attachments, and proper email folder/rules creation.
- d) Finally, training should involve the development of an introductory counter sales training track that involves both JU Online and DDI's Inform Training Guide. This effort should include the creation of metrics that measure the success of the onboard training.

Maximum Bonus Opportunity: \$2,250

- 2) Lines Per Invoice (LPI) is a one of several key performance metrics that measures productivity of our branch staff. Essentially it is a statement of our ability to do more with the same or less resources when it comes to processing quotes, orders and invoices. Upselling on a sales order, maintaining a fully stocked showroom, using lists to increase Internet sales are all ways that can serve to increase LPI. We measure LPI using trailing twelve-month data (TTM) so as to reduce the distorting impact of seasonal and single event variability in the calculation. As of 12/31/2020, Syracuse TTM LPI was 2.26 Your goal will be to improve the branch TTM LPI by 3.1% by year-end 2021 to 2.33. Several analytic reports have been created using MITS to facilitate your efforts. *(3Yrs LPI Analysis- Syracuse (Bonus 2021); 3Yrs LPI Analysis- Company (Bonus 2021))*

Maximum Bonus Opportunity: \$750

- 3) eCommerce is the future, and it is crucial that it become an important part of our business moving forward. eCommerce and specifically web-based sales are becoming an increasingly important way for our customers to conduct business and are equally vital to our company's

long-term profitability by lowering our overall cost to serve. To receive credit, you will need to grow house account group e-commerce profits. You will be paid 5% of e-commerce Gross Profit growth over 2020 baseline Gross Profit. Allowance will be made for any e-commerce growth that may have existed prior to the transferal of any account out of the house account group. *(eCommerce Sales/GP YTD vs LY- Syracuse (Bonus 2021))*

Maximum Bonus Opportunity: \$1,000

- 4) In addition to Internet and Mobile Web ordering we have several tools unique to Johnstone that are designed to lock in and build our SOW with customers: PartStock® and DirectConnect®. A careful review of management capability, customer technical potential and the customization of customer pricing, including the use of pricing programs could help you to achieve this goal. Should you identify customers interested in the use of any other eCommerce technology/service we offer, you should bring them to the attention of your supervisor as soon as possible.

Success in this effort will require that you understand and explain the benefits of our eCommerce solutions and be able to demonstrate their ease of use to your customers. These tools clearly distinguish us from most of our competitors. Furthermore, success here will improve order-processing productivity at the branch.

The exercise will require you to:

- a) If needed, work with your supervisor to assist you with qualifying and vetting prospective customers.
- b) Verify that appropriate price programs have been assigned to the customer.
- c) Where appropriate, work closely with TMs to create a smooth customer handoff so as to ensure each customer's online experience is positive.

Shields Confidential Bonus Program- continued

-5-

You will receive \$50 for each customer signed up and set up for “go live” with the PartStock® or DirectConnect® programs. You will receive an additional \$200 of active use of either program. The definition of “active use” is a customer who uses these programs to place a minimum of five (5) transactions (number of initial orders; backorders do not count) totaling \$1,500 or more within the first 90 days after “go-live”.

Maximum Bonus Opportunity: \$250/customer

- 5) Johnstone produces many JU online training courses including monthly flyer quizzes. These courses once completed are a proven vehicle for boosting sales. In order to qualify for credit you must complete all HVACR courses timely and with an average 80% score or completion certificate if no quiz is provided. You must also complete a total of four (4) hours of training each quarter for a total of 16 hours for the year. All courses are listed with time commitments. Note: If you do not meet your quarterly training commitment you will lose the bonus opportunity for that quarter. **(Maximum \$100/quarter for four (4) hours of course work)**

Maximum Bonus Opportunity: \$400

- 6) Every TM we hire must learn to work closely with the Branch to effectively achieve their potential. Whether it is necessary for technical support, quote support, or to provide competitive pricing and stocking feedback from the field, the quality of the information gathered by the TM and provided to the Branch is critical. Johnstone has created a call quality scoring program to help the TM gauge whether their efforts are impactful. This is not just a self-assessment tool for the TM to gauge the effectiveness of their daily outreach efforts, although it can be. It is equally important to management as a tool to gauge whether branch support has provided relevant, timely, and sufficient information to keep the TM armed with saleable solutions. This goal is achieved by establishing a scheduled weekly review of daily TM call efforts for the

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Shields Confidential Bonus Program- continued

-6-

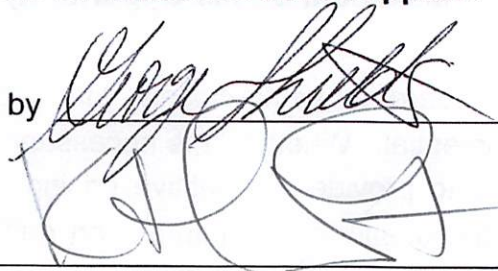
previous week. The meeting should be published on Outlook and should include the TM and their Sales Manager. Each TM is asked to strive for a weekly score of 80 and to turn in their sheets to you and to the Sales Manager. The higher the score ostensibly the higher the outreach quality.

Maximum Bonus Opportunity: \$750

All six (6) goals must be completed entirely to maximize your full potential bonus. These activities reflect the company's dedication and investment in you to continuously look for ways to improve knowledge and capability. Growth by our employees grows our business and makes us all more profitable!

Before you sign off on this plan, please carefully review your entire compensation plan for 2021 and understand that all bonus payouts require you to be in the employ of Johnstone Supply during the entire period being measured. For example, if your bonus compensation is annual, then you must be in the employ of Johnstone Supply as of 12/31 of the year for which the bonus applies.

Plan Accepted by



Date

2/23/21

Supervisor



Date

3/3/21

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